

TARIFFS TO THE USA

Product Category	China Tariff (to US)	India Tariff (to US)
Smartphones	125%+	~10%
Routing and switching devices	25%+	~6-10%

question is: Who is ready to fill the gap?

Navigating the tariff minefield.

The tariff decision-making process can be better understood through the pictorial representation, which outlines the critical steps to follow.

Bridging the gap: Government's critical role

For Indian businesses, growth in the electronics sector requires more than just strategy—it demands robust government support. Policy efforts must focus on trade negotiations, reducing non-tariff barriers, and offering meaningful incentives to improve global competitiveness.

India is rapidly positioning itself as a global electronics manufacturing hub, driven by initiatives such as the PLI scheme, EMC 2.0, and SPEC. However, the sector still relies heavily on Chinese imports for essential components, raw materials, and specialised machinery. This dependence presents risks and opportunities, especially as India-US Bilateral Trade Agreement (BTA) talks progress.

To compete effectively, particularly in the US market, where China exports \$21.2 billion worth of electronics and machinery under Chapters 84 and 85, compared to India's \$2.1 billion, India must:

- Negotiate reduced duties on capital goods and electronic inputs, particularly from the US
- Expand export incentives beyond Chapter 85 to include the full range of electronic products
- Address tariff arbitrage, regulatory hurdles, and compliance risks,

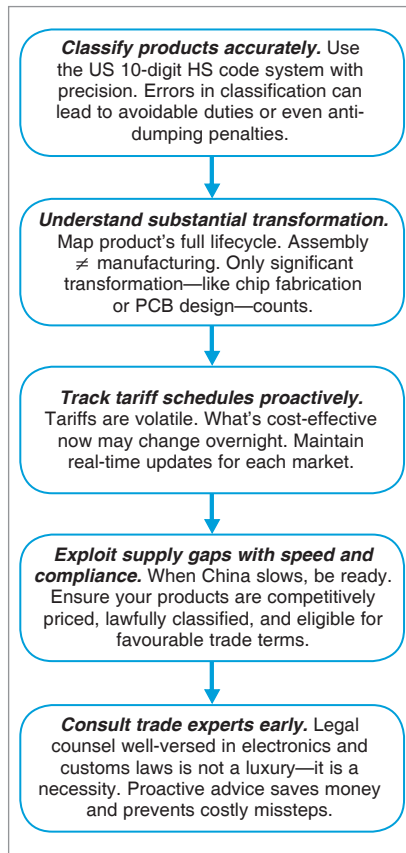


Fig. 7: Navigating the tariff minefield

including misclassification, circumvention, and anti-dumping actions

Indian manufacturers and policymakers must act with urgency. Collaboration with NITI Aayog and trade associations can help lower input costs, expand access to global markets, and reinforce India's position in global electronics supply chains. The question is no longer one of potential—it is one of execution.

But the reward? Monumental. Should India rise to the challenge, it could emerge as a viable alternative to China for electronics manufacturing, generating employment, attracting investment, fostering innovation, and gaining geopolitical influence.

Time to think bigger

India stands at a pivotal moment in

its journey towards global electronics leadership. Success will require more than increased output—it calls for deep understanding of trade dynamics, strategic policy engagement, and an unrelenting focus on innovation. As US immigration policies tighten, India has a unique opportunity to attract global talent and build cutting-edge capabilities.

Manufacturers that adapt, innovate, and master regulatory complexity will lead the transformation. With China's dominance under pressure, India is well-placed to step in and claim its share of the global stage. Now is the time for Indian firms to move beyond basic assembly towards full-scale manufacturing, global exports, and sustainable growth.

With coordinated strategy, robust partnerships, and regulatory intelligence, the sky is the limit.

Indian manufacturers must go beyond merely assembling imported parts. With strategic foresight, close government collaboration, and deep compliance expertise, India can evolve into a full-scale electronics powerhouse.

As V. Lakshmikumaran of LKS Law Firm aptly says, "Know your parts, know your origin." That knowledge is not just about compliance—it is a strategic advantage. The next global electronics giant will not be the one with the cheapest assembly line. It will be the one that understands the rules, plays them wisely, and builds for the future. **EFY**

Based on an ELCINA White Paper and Webinar titled 'US Reciprocal Tariffs—Challenges and Opportunities for the Indian Electronics Sector,' this piece features insights from V. Lakshmikumaran, Founder and Managing Partner, LKS; Devinder Bagia, Partner, LKS; and Disha Jain, Partner, LKS. It has been transcribed and curated by Akanksha Sondhi Gaur, Senior Technology Journalist at EFY.